Morgan Stanley | RESEARCH

UPDATE

November 6, 2026 04:13 PM GMT

King Slide Works Co. Ltd. | Asia Pacific

October Sales +2% MoM/+191% YoY

In this report, we focus on King Slide's monthly sales, which we believe could be a catalyst for its share price movement.

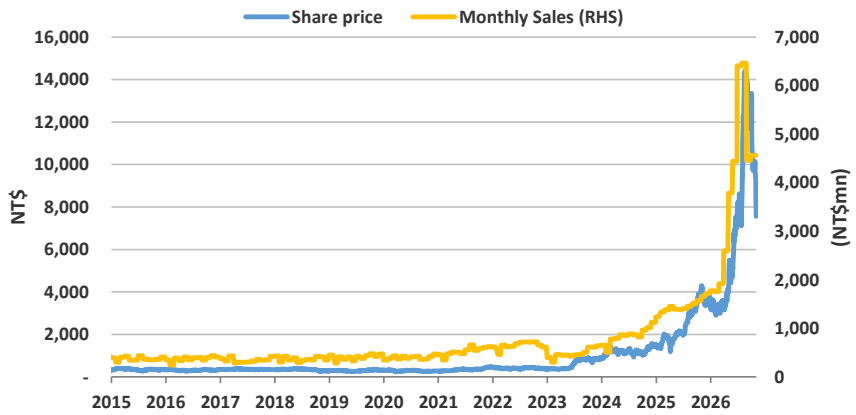
Details::

- October sales were NT$4,562mn (+2% MoM/+191% YoY)

Our view:

- We think the monthly sales run rate in the near term should stay roughly at the Sep-26 level and might start to tick up from late 4Q26/early 1Q27 along with the new server platform ramp.
- Near-term softness should be well known and dilution from the recently announced CB issuance is manageable (up to 1.4% dilution based on the latest price), while the growth outlook still looks promising for 2027 amid the increasing penetration of rail kits into more hardware devices in AI clusters.
- We maintain our view that King Slide's competitiveness in the comprehensive patent portfolio and strong execution are entrenched and accentuated amid fast generation migration in AI applications.
- Stay OW.

Exhibit 1: King Slide's monthly sales vs. its share price since 2015



Source: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research

MORGAN STANLEY TAIWAN LIMITED+

Derrick Yang
Equity Analyst
Derrick.Yang@morganstanley.com +886 2 2730-2862

Vivi Huang
Research Associate
Vivi.Huang@morganstanley.com +886 2 2730-2860

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA
Equity Analyst
Andy.Meng@morganstanley.com +852 2239-7689

Morgan Stanley appreciates your support in the 2027 Extel Asia Research Survey. Voting opens 10 November 2026.

King Slide Works Co. Ltd. (2059.TW, 2059 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$15,000.00
Up/downside to price target (%)	98
Shr price, close (Nov 6, 2026)	NT$7,565.00
52-Week Range	NT$15,085.00-2,875.00
Sh out, dil, curr (mn)	95
Mkt cap, curr (mn)	NT$720,923
EV, curr (mn)	NT$697,220
Avg daily trading value (mn)	NT$4,891

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	103.23	382.77	502.77	559.77
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	100.25	340.15	493.09	574.20
Revenue, net (NT$ mn)	17,501	55,414	74,250	82,820
EBITDA (NT$ mn)	12,449	45,194	60,021	67,047
ModelWare net inc (NT$ mn)	9,837	36,477	47,913	53,345
P/E	36.3	19.8	15.0	13.5
RNOA (%)	216.6	818.3	534.3	549.4
ROE (%)	46.2	130.2	90.9	62.3
EV/EBITDA	26.8	15.0	10.7	9.1
Div yld (%)	0.9	1.6	2.1	2.3
FCF yld ratio (%)**	2.9	4.4	6.5	7.3
Leverage (EOP) (%)	(84.6)	(83.2)	(88.8)	(91.5)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
§ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
King Slide Works Co. Ltd. 2059.TW			
October 2026 Sales	06 Nov 2026	Unchanged	In-line

Source:Company data, Morgan Stanley Research

Valuation Methodology and Risks

King Slide Works Co. Ltd. (2059.TW)

Base case, 30x 2027e P/E. We use price/earnings as our valuation methodology because we believe it better captures King Slide's earnings growth potential. We believe our target multiple is justified by an operating profit CAGR of 77% seen for 2025-28, implying a PEG of 0.4 vs. the average of 1.2 over 2010-24, when the stock was trading at 17-18x P/E with an operating profit CAGR of 14%.

Risks to Upside

- Stronger-than-expected AI capex
- Stronger server demand
- Faster market share gains

Risks to Downside

- Softer AI capex
- Weaker server demand
- Sluggish kitchen furniture demand
- Competition leading to slower share gains.

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(as of October 31, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

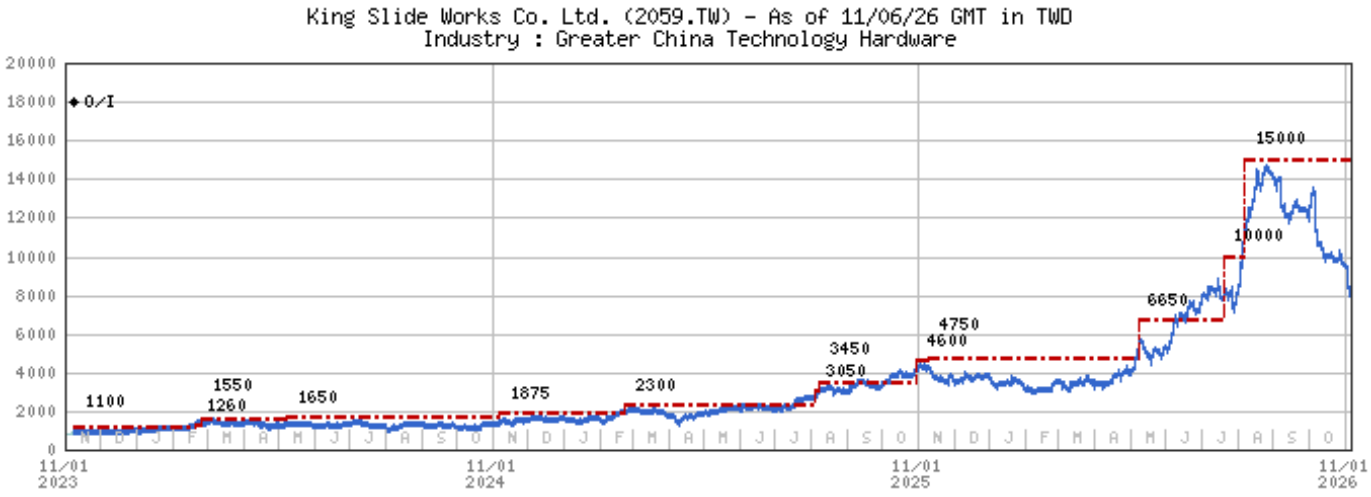
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Stock Rating History: 11/8/23 : O/I

Price Target History: 11/8/23 : 1100; 2/20/24 : 1260; 2/26/24 : 1550; 5/8/24 : 1650; 11/7/24 : 1875; 2/22/25 : 2300; 8/4/25 : 3050; 8/8/25 : 3450; 10/30/25 : 4600; 11/10/25 : 4750; 5/8/26 : 6650; 7/20/26 : 10000; 8/7/26 : 15000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$37.64
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb91.30
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.40
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.00
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.54
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb172.10
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$825.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb24.61
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.01
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb35.25
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$54.35
Largan Precision (3008.TW)	O (10/13/2026)	NT$4,480.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.16
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.63
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.55
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.06
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb50.05
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.66
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.43
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb77.29
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$35.68
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb65.00
Sunny Optical (2382.HK)	E (03/23/2026)	HK$64.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb122.00
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb11.49

Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.38
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb240.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$86.05
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb104.43
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.84
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb448.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$569.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.06
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.20
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,280.00
Advantech (2395.TW)	O (01/20/2021)	NT$552.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,010.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,310.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$26.55
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,055.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,325.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.46
Chenbro (8210.TW)	O (07/23/2025)	NT$546.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,205.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,055.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$142.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,690.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$274.50
Innolux (3481.TW)	E (04/07/2025)	NT$36.05
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$7,565.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb27.01
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$198.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.57
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.60
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$29.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$859.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$183.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$31.50
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$3,820.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$2.91
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb40.71
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$298.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$813.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$224.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.12
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$30.40
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$1,750.00
Lenovo (0992.HK)	O (07/10/2026)	HK$18.81
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,585.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$875.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$92.90
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$290.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb70.49
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb199.92
Unimicron (3037.TW)	O (02/23/2026)	NT$727.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$319.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$160.00

Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,555.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$374.00
Zhen Ding (4958.TW)	++	NT$373.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$303.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$906.00

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